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03 MAR 2014
NAIROBI SECURITIES EXCHANGE LTD

PAN AFRICA INSURANCE HOLDINGS LIMITED

3rd March 2014

The Chief Executive
Nairobi Securities Exchange
55 Westlands Road
NAIROBI

Dear Sir

AUDITED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2013

In accordance with the respective Statutory Requirements; we write to advice you as follows:

a) **Approval of Financial Results for the Year ended 31 December 2013**
The Board of Directors of Pan Africa Insurance Holdings Limited has approved the audited financial results for the year ended 31 December 2013. In accordance with obligation B.29 of the fifth schedule to the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002, we enclose, for your information, an advance copy of the press announcement which will be published in two local dailies tomorrow.

b) **2014 Annual General Meeting**
In accordance with obligation B.05 of the fifth schedule to the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002, we write to inform you that the Board of Directors of have resolved to hold the Annual General Meeting of the Company on Friday, 16 May 2014.

c) **Dividend**
Subject to the approval of the Shareholders at the Annual General Meeting, the Directors recommend the payment of a first and final dividend of KShs 4.50 (2013: KShs 3) per share. Further, upon approval, the Register of Members will be closed from 19 May 2014 to 2 June 2014 (both days inclusive) for the purpose of preparing the dividend cheques which will be distributed on 2 July 2014 to shareholders registered in the Register of Members at close of trading on Friday, 16 May 2014.

A press announcement on the above matters will be which will be published in the Daily Nation and the Standard, tomorrow, Tuesday, 4th March 2014.

We shall be obliged if you would kindly acknowledge receipt on the duplicate of this letter.

Yours faithfully

Emma Wachira
Company Secretary

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Pan Africa Insurance Holdings Limited
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Pan Africa Insurance Holdings Limited

Audited Group Financial Results for the year ended 31 December 2013

Head Office: Pan Africa Life House, Kenyatta Avenue | P.O. Box 10493 Nairobi 00100 Kenya
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Report of the Independent Auditors to the shareholders of Pan Africa Insurance Holdings Limited

Report on the financial statements
We have audited the accompanying consolidated financial statements of Pan Africa Insurance Holdings Limited (the company) and its subsidiaries (together, the Group), which comprise the consolidated statement of financial position as at 31 December 2013, the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, together with the statement of financial position of the company as at 31 December 2013, statement of comprehensive income of the company, statement of changes in equity of the company and statement of cash flows of the company for the year then ended, and a summary of significant accounting policies and other explanatory information in the financial statements.

Directors' responsibility for the financial statements
The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility
Our responsibility is to express an independent opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depended on our professional judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal control relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion
In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Group and of the company as at 31 December 2013 and of the financial performance and cash flows of the Group and the company for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on other legal requirements
As required by the Kenyan Companies Act, we report to you, based on our audit, that:

i) We have obtained all the information and explanations which, to the best of our knowledge and belief were necessary for the purposes of our audit;

ii) In our opinion, proper books of account have been kept by the Group and the company, so far as appears from our examination of those books; and,

iii) the Groups and the Company's statement of financial position and statement of comprehensive income are in agreement with the books of account.

Nairobi

Signed by: CPA Churchill Atinda
Practicing certificate no. p.1425

3 March 2014

NOTICE OF THE ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 68th Annual General Meeting of the Company will be held at the **Tsavo Room, Hilton Hotel, Mama Ngina Street Nairobi** on **Friday, 16 May 2014** at **10.00 am** to conduct the following business:

1. To table the proxies and note the presence of a quorum.

2. To read the Notice convening the meeting.

3. To confirm the minutes of the previous Annual General Meeting held on 17 May 2013.

4. To consider, and if approved, adopt the Balance Sheet and Accounts for the year ended 31 December 2013 together with the reports of the Chairman, the Chief Executive, the Directors, the Auditors and the Statutory Actuary.

5. To declare a dividend of KShs 4.50 per share for the financial year ended 31 December 2013 and approve the closure of the register of Members on 19 May 2014 to 2 June 2014.

6. To elect directors:

6.1 Mr John PN Simba, retires by rotation in accordance with the Company's Articles of Association and he offers himself for re-election.

6.2 Ms Margaret M Dawes, retires by rotation in accordance with the Company's Articles of Association and she offers herself for re-election.

7. To approve the Directors' remuneration.

8. To appoint PricewaterhouseCoopers as the Company's auditors, in accordance with Section 159(1) of the Companies Act (Cap 486) and to authorise the Directors to fix their remuneration.

9. To transact any other business with the permission of the Chair for which 48 hours notice had been given to the Company Secretary at the registered office of the Company.

By Order of the Board
Company Secretary

Date: 3 March 2014

Pan Africa Insurance Holdings Limited

Audited Group Financial Results for the year ended 31 December 2013

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Introduction

The Board of Directors of Pan Africa Insurance Holdings Limited (PAIHL) is pleased to announce the Group's audited results for the year ended 31 December 2013.

Key Features

- Profit before tax at KShs. 1.5b is up 82% from KShs. 834m
- Total income up by 8% to KShs. 8.5b
- Shareholders' funds up by 40% to KShs. 3.3b
- Total assets up by 28% to KShs. 21b
- Pan Africa Life Embedded Value (EV) increased by 21% to KShs. 2.67b while Group EV increased by 18% to KShs. 5.3b
- Group Capital Adequacy Requirement (Solvency) covered 3.84 times

Accounting policies

The Group's accounting policies comply with International Financial Reporting Standards (IFRS) as well as the Kenyan Companies Act. These policies are consistent with those applied in prior years except for the change to recognise deferred tax on the life fund surplus.

Deferred Tax on life fund surplus

Life insurance companies have not been providing for deferred tax on any undistributed surplus retained in the life fund because tax is only payable upon transfer to shareholders when recommended by the Actuary and the distribution is limited to 30% of the surplus by the Insurance Act. Following further clarification on both IFRS 10 and IAS12, the group has now recognised deferred tax on this surplus.

Consequently, this has led to a prior year adjustment to reflect this change and provide for deferred tax on the surplus in the life fund. The impact on the statement of comprehensive income is: 2013-KShs. 126m, 2012-KShs. 98m and prior years-KShs. 158m.

The Economic Environment

According to CBK Monthly Economic Reviews, economic growth remained resilient in 2013, with GDP growing by 5.2%, 4.3% and 4.4% in the first,second and third quarter of 2013 respectively. Key sectors supporting this growth included agriculture, construction, financial intermediation and manufacturing. The NSE share index at 4927 is 19.2% up on the December 2012 closing index of 4133. The overall 12 month inflation rate increased to 7.15% in December 2013 from the December 2012 low of 3.2%. Short term interest rates are on the rise with the 91 and 182 days treasury bills increasing to 9.4% and 10.383% respectively on auctions of the week ending 27th December 2013 compared to the 8.122% and 8.1% at the beginning of the year.

The Kenya Shilling remained stable against the US Dollar to close at KShs. 86.30 in December 2013 compared to KShs. 86.03 in December2012.

Financial Overview

The profit before tax for the Pan Africa Group at KShs. 1.5b is 82% up on the KShs. 834m reported in 2012. All our entities contributed positively towards the improved Group results in 2013.

The Group results are analysed as follows:

	31 Dec 13 KShs.' M	31 Dec 12 Restated KShs.' M
Operating surplus	808	721
Investment income on shareholders' assets	708	113
Profit before tax	1,516	834
Other comprehensive income	3	-
Tax	(266)	(234)
Net surplus for the period	**1,253**	600

The Operating surplus at KShs. 808m grew by 12% on the back of good returns from our endowment products and interest on policy loans. We also had good returns from the plot sales in Runda. Our two insurance lines, Individual Life and Corporate business continue to be profitable with good prospects for further growth. Investment income on shareholders' assets grew significantly as a result of unrealised earnings mainly from an unlisted investment.

The Group Embedded Value at KShs. 5.3b realised a growth of 18% for the period.

Life Business

The Life business performed well with a profit before tax of KShs. 422m, up by 29% from KShs. 326m in 2012. The total gross premium at KShs. 5.3b is 2% shy of the KShs. 5.4b achieved in 2012 because of fewer bulk annuities in 2013.

During the year, we launched Bima Mkononi which is a life product covering death and disability to be distributed through mobile telephony. The product targets the informal sector that is currently poorly covered by other insurance products.

We have declared a 4% (2012: 5%) bonus for 'With Profit' policies and 10% (2012: 12.5%) interest declaration on Deposit Administration schemes.

Dividends

The Directors will be recommending a dividend of KShs. 4.5 (2012: KShs. 3) per share to be approved by the AGM in May 2014.

Looking ahead

Our focus this year will be to improve efficiency and contain costs. We will also continue to pursue our strategy of diversifying our distribution channels, specifically bancassurance and mobile telephony. We also expect that the new life administration system will be fully implemented by the end of quarter 1.

For and on behalf of the Board

Dr JPN Simba, OGW, MBS (Chairman)

Mr TM Gitogo (Chief Executive)

Directors

JPN Simba, MM Dawes*, TB Gamedze*, TM Gitogo, JN Gitoho, S Mudhune, BC Patel, TA Wixley*, JP Wrench *.

South African

MEMBER OF THE Sanlam GROUP

Pan Africa Insurance Holdings Limited - Group

Audited Group Financial Results for the year ended 31 December 2013

Group Statement of Comprehensive Income

	31 Dec 2013 KShs.'000	31 Dec 2012 Restated KShs.'000
Gross written premium	5,324,099	5,440,654
Outward reinsurance premium	(222,272)	(315,020)
Net written premium	**5,101,827**	**5,125,634**
Investment income	1,534,084	1,244,574
Fair value gains	1,168,709	879,863
Fee and commissions earned	52,680	75,866
Other operating income (including property)	685,054	594,904
Other revenue	**3,440,527**	**2,795,207**
Total income	**8,542,354**	**7,920,841**
Gross benefits and claims paid	(2,258,375)	(1,674,761)
Reinsurers' share of claims	115,711	174,333
Net change in contract liabilities	(3,131,674)	(4,020,967)
Net claims and policyholders benefits	**(5,274,338)**	**(5,521,395)**
Cost of sales	(68,775)	(40,210)
Commission payable	(724,477)	(669,678)
Operating and other expenses	(960,408)	(856,582)
Total benefits, claims and other expenses	**(7,027,998)**	**(7,087,865)**
Profit before share of profit of associate	1,514,356	832,976
Share of profit of associate	2,088	1,670
Profit before tax	**1,516,444**	**834,646**
Income tax expense	(266,012)	(234,406)
Profit for the year after tax	**1,250,432**	**600,240**
Other comprehensive income		
Other comprehensive income net of tax	2,747	-
Other comprehensive income	**2,747**	-
Total profit and other comprehensive income	**1,253,179**	**600,240**
Profit attributable to:		
Equity holders	1,253,179	600,240
Earnings per share		
Basic	13.05	6.25
Diluted	13.05	6.25
Shares used in calculating earnings per share	**96,000**	**96,000**

Group Statement of Financial Position

	31 Dec 2013 KShs.'000	31 Dec 2012 Restated KShs.'000
CAPITAL AND RESERVES		
Share capital	480,000	480,000
Share premium	124,431	124,431
Statutory reserve	1,274,251	852,157
Retained earnings	1,459,761	916,676
Total capital and reserves	**3,338,443**	**2,373,264**
ASSETS		
Intangible assets	123,459	104,142
Property and equipment	114,749	96,646
Investment properties	922,282	820,000
Investment in associate	15,919	13,831
Deferred tax	28,050	-
Financial instruments:		
Loans	1,006,619	964,427
Held to maturity financial assets	5,536,053	4,078,995
Available for sale financial assets	-	3,827
Fair value through profit or loss financial assets	8,181,718	5,038,609
Reinsurance assets	101,809	197,348
Land and development (inventory)	145,709	106,280
Insurance receivables	159,290	186,773
Income tax receivables	31,143	53,784
Receivable and other financial assets	102,610	355,851
Deposits in financial institutions	4,505,266	4,169,370
Cash and bank balances	182,831	283,639
Total assets	**21,157,507**	**16,473,522**
LIABILITIES		
Insurance contract liabilities	6,868,452	5,221,365
Market linked insurance liabilities	8,069,684	6,680,701
Payable under deposit administration contracts	1,355,921	1,071,633
Deferred tax	382,275	255,647
Provisions	56,418	41,676
Current tax liability	9,972	38,399
Insurance payables	343,199	255,377
Payables and other charges	733,143	535,460
Total liabilities	**17,819,064**	**14,100,258**

Group Statement of Changes in Equity

	31 Dec 2013 KShs.'000	31 Dec 2012 Restated KShs.'000
Share capital and share premium	604,431	604,431
Opening reserves	1,768,833	1,360,593
Income attributable to shareholders	1,253,179	600,240
Dividends paid	(288,000)	(192,000)
Balance at end of the year	**3,338,443**	**2,373,264**

Abridged Statement of Cash Flows

	31 Dec 2013 KShs.'000	31 Dec 2012 Restated KShs.'000
Cash flow from operating activities	2,665,915	3,111,093
Cash utilised in investing activities	(2,118,577)	(1,507,082)
Cash utilised in financing activities	(312,250)	(192,000)
Net increase in cash resources	235,088	1,412,011
Cash resources at the beginning of the year	4,453,009	3,040,998
Cash resources at the end of the year	**4,688,097**	**4,453,009**

Pan Africa Life Assurance Limited

Audited Financial Results for the year ended 31 December 2013

Statement of Comprehensive Income

	31 Dec 2013 KShs.'000	31 Dec 2012 Restated KShs.'000
INCOME		
Gross written premium	5,324,099	5,440,654
Outward reinsurance premium	(222,272)	(315,020)
Net written premium	**5,101,827**	**5,125,634**
Investment income	1,385,030	1,112,869
Fair value gains	620,688	879,863
Fee and commissions earned	52,680	75,866
Other operating income	8,959	23,974
Total Income	**7,169,184**	**7,218,206**
OUTGO		
Gross benefits and claims paid	(2,258,374)	(1,674,761)
Reinsurers' share of claims	115,711	174,333
Net change in contract liabilities	(3,131,674)	(4,020,967)
Net claims and policyholders benefits	**(5,274,337)**	**(5,521,395)**
Commission payable	(716,930)	(669,678)
Operating and other expenses	(755,824)	(700,364)
Total outgo	**(6,747,091)**	**(6,891,437)**
Profit before tax	422,093	326,769
Income tax expense	(126,628)	(101,984)
Profit for the year after tax	**295,465**	**224,785**
Other comprehensive income net of tax	-	-
Total profit and other comprehensive income	**295,465**	**224,785**

Amounts Payable Under Deposit Administration Contracts

	31 Dec 2013 KShs.'000	31 Dec 2012 Restated KShs.'000
At 01 January	1,071,633	681,547
Pension fund deposits received	246,262	335,753
Surrenders and annuities paid	(115,486)	(147,683)
Interest payable to policyholders	174,230	212,839
Management charges	(20,718)	(10,823)
At 31 December	**1,355,921**	**1,071,633**

Statement of Financial Position

	31 Dec 2013 KShs.'000	31 Dec 2012 Restated KShs.'000
CAPITAL AND RESERVES		
Share capital	200,000	200,000
Share premium	30,260	30,260
Statutory and other reserve	871,453	575,988
Total capital and reserves	**1,101,713**	**806,248**
ASSETS		
Intangible assets	123,062	104,143
Property and equipment	105,929	88,200
Investment properties	922,282	820,000
Investments in equities	2,827,517	1,494,142
Government securities	9,855,636	7,608,104
Tax recoverable	19,427	15,958
Loans	347,939	359,954
Receivables arising out of reinsurance arrangements	101,810	197,348
Receivables arising out of direct insurance arrangements	159,290	186,773
Other receivables	218,459	285,950
Deposits in financial institutions	3,775,612	3,272,863
Cash and bank balances	166,223	253,114
Total assets	**18,623,186**	**14,686,549**
LIABILITIES		
Insurance contract liabilities	6,868,452	5,221,365
Market linked insurance liabilities	8,069,684	6,680,701
Payables under deposit administration contracts	1,355,921	1,071,633
Deferred tax	382,275	255,647
Insurance payables	343,198	255,376
Other payables	501,943	395,579
Total liabilities	**17,521,473**	**13,880,301**

KEY RATIOS	31 Dec 2013	31 Dec 2012
Capital adequacy ratio (capital available/required minimum capital)	133%	133%
Claims ratio (claims incurred/net written premium)	42%	29%
Expense ratio (total management expenses/gross written premium)	14%	13%
Retention ratio (net written premium/gross written premium)	96%	94%
Commission ratio (gross commission/gross written premium)	13%	12%
Solvency ratio (actual solvency/required solvency)	140%	116%